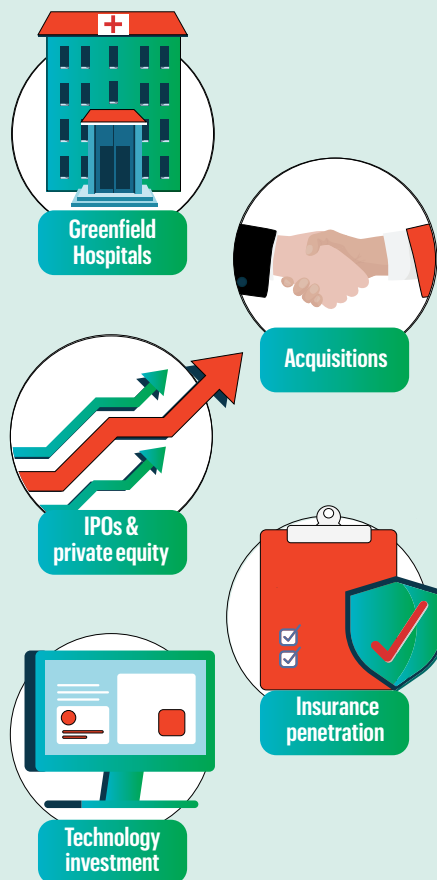


THE GROWTH DRIVERS

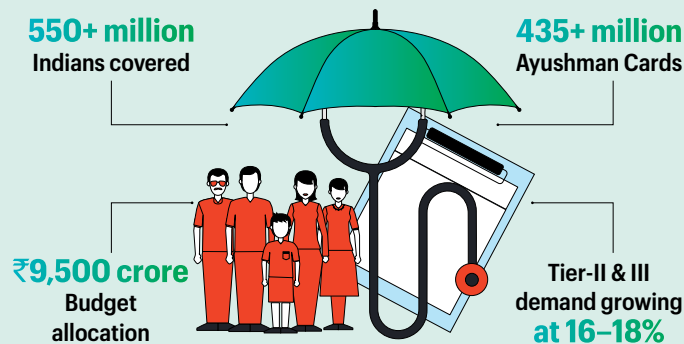
The next phase of growth is being powered by a combination of fresh capital, consolidation, wider insurance coverage and technology-led expansion



SOURCE COMPANY FILINGS, CRISIL RATINGS, EY-PARTHENON.

INSURANCE DRIVES DEMAND

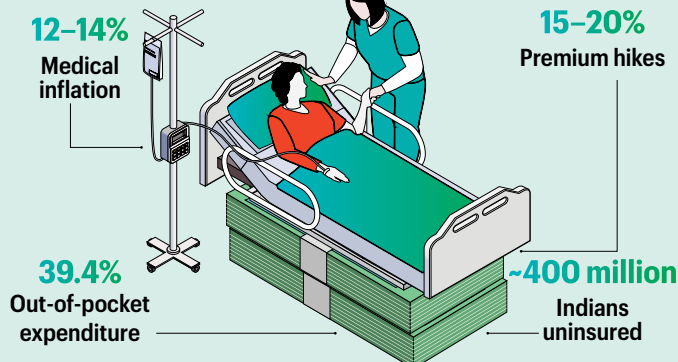
Health insurance is expanding the pool of paying patients, giving hospital operators greater confidence to invest



SOURCE UNION BUDGET 2026-27, NATIONAL HEALTH AUTHORITY, BAJAJ BROKING PRIVE

THE COST OF CARE

While insurance is improving access, rising medical inflation and treatment costs are making healthcare more expensive for both insurers and patients



SOURCE MILLIMAN INDIA, ECONOMIC SURVEY 2024-25, NITI AAYOG

common tariff arrangements," he says. This is important as disputes over reimbursement rates, claim settlements and cashless treatment have become commonplace.

The disputes have exposed gaps in the regulatory framework. India's private hospital sector continues to operate under a fragmented system, with licensing, quality standards, pricing and oversight divided among multiple authorities. While the Clinical Establishments (Registration and Regulation) Act, 2010, prescribes minimum standards, it has not been adopted uniformly across the country.

NEW OWNERS

The ownership profile of India's organised hospital sector has changed markedly in recent years as global investors have stepped up investments through acquisitions and majority stake purchases. Since 2021, at least nine major deals involving Temasek, Blackstone, KKR, General Atlantic, Ontario Teachers' Pension Plan and Barings have changed the ownership of prominent hospital chains, including Manipal Hospitals, CARE Hospitals, KIMSHEALTH, Sahyadri Hospitals, HealthCare Global (HCG), Ujala Cygnus, Indira IVF and Medicovert Hospitals India. While institutional